

The Central Excise Rules, 2017

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The Central Excise Rules, 2017

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The Central Excise Rules, 2017

Rule THE-CENTRAL-EXCISE-RULES-2017 of 2017

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The Central Excise Rules, 2017

Published vide Notification No. G.S.R. 733(E), dated 30th June, 2017

Ministry of Finance

(Department of Revenue)

No. 19/2017-Central Excise (N.T.)

G.S.R. 733(E). - In exercise of the powers conferred by section 37 of the Central Excise Act, 1944 (

1 of 1944
) and in supersession of the Central Excise Rules, 2002, except as respects things done or omitted to be done before such supersession, the Central Government hereby makes the following rules, namely:-

1.

Short title, extent and commencement.

(1)

These rules may be called the Central Excise Rules, 2017.

(2)

They extend to the whole of India.

(3)

They shall come into force on the 1st day of July, 2017.

2.

Definitions.

(1)

In these rules, unless the context otherwise requires, -

(a)

"Act" means the Central Excise Act, 1944 (

1 of 1944

);

(b)

"assessment" includes self-assessment of duty made by the assessee under Rule 6 and provisional assessment under rule 7;

(c)

"assessee" means any person who is liable for payment of duty assessed or a producer or manufacturer of excisable goods or a registered person of a private warehouse in which excisable goods are stored and includes an authorised agent of such person;

(d)

"Board" means the Central Board of Excise and Customs constituted under the Central Board of Revenue Act, 1963 (

54 of 1963

);

(e)

"duty" means the duty payable under section 3 of the Act;

(f)

"notification" means the notification published in the Official Gazette;

(g)

"warehouse" means any place or premises registered under rule 9; and

(2)

The words and expressions used herein but not defined and defined in the Act shall have the meanings respectively assigned to them in the Act.

3.

Appointment and jurisdiction of Central Excise Officers.

(1)

The Board may, by notification, appoint such person as it thinks fit to be Central Excise Officer to exercise all or any of the powers conferred by or under the Act and these rules.

(2)

The Board may, by notification, specify the jurisdiction of a Principal Chief Commissioner of Central Excise or Chief Commissioner of Central Excise, as the case may be, Principal Commissioner of Central Excise or Commissioner of Central Excise, as the case may be or Commissioner of Central Excise (Appeals) for the purposes of the Act and the rules made thereunder.

(3)

Any Central Excise Officer may exercise the powers and discharge the duties conferred or imposed by or under the Act or these rules on any other Central Excise Officer who is subordinate to him.

4.

Duty payable on removal.

(1)

Every person who produces or manufactures any excisable goods, or who stores such goods in a warehouse, shall pay

the duty leviable on such goods in the manner provided in rule 8 or under any other law, and no excisable goods, on which any duty is payable, shall be removed without payment of duty from any place, where they are produced or manufactured, or from a warehouse, unless otherwise provided.

(2)

Notwithstanding anything contained in sub-rule (1), Principal Commissioner or Commissioner, as the case may be, may, in exceptional circumstances having regard to the nature of the goods and shortage of storage space at the premises of the manufacturer where the goods are made, permit a manufacturer to store his goods in any other place outside such premises, without payment of duty subject to such conditions as he may specify.

5.

Date for determination of duty and tariff valuation.

- The rate of duty or tariff value applicable to any excisable goods shall be the rate or value in force on the date when such goods are removed from a factory or a warehouse, as the case may be.

Explanation. - If any excisable goods are used within the factory, the date of removal of such goods shall mean the date on which the goods are issued for such use.

6.

Assessment of duty.

- The assessee shall himself assess the duty payable on any excisable goods:

Provided that in case of cigarettes, the Superintendent or Inspector of Central Excise shall assess the duty payable before removal by the assessee.

7.

Provisional assessment.

(1)

Where the assessee is unable to determine the value of excisable goods or determine the rate of duty applicable thereto, he may request the Assistant Commissioner of Central Excise or the Deputy Commissioner of Central Excise, as the case may be, in writing giving reasons for payment of duty on provisional basis and the Assistant Commissioner of Central Excise or the Deputy Commissioner of Central Excise, as the case may be, may order allowing payment of duty on provisional basis at such rate or on such value as may be specified by him.

(2)

The payment of duty on provisional basis may be allowed, if the assessee executes a bond in the form prescribed by notification by the Board with such surety or security in such amount as the Assistant Commissioner of Central Excise or the Deputy Commissioner of Central Excise, as the case may be, deem fit, binding the assessee for payment of difference between the amount of duty as may be finally assessed and the amount of duty provisionally assessed.

(3)

The Assistant Commissioner of Central Excise or the Deputy Commissioner of Central Excise, as the case may be, shall pass order for final assessment, as soon as may be, after the relevant information, as may be required for finalising the assessment, is available, but within a period not exceeding six months from the date of the communication of the order issued under sub-rule (1):

Provided that the period specified in this sub-rule may, on sufficient cause being shown and the reasons to be recorded in writing, be extended by the Principal Commissioner of Central Excise or Commissioner of Central Excise, as the case may be for a further period not exceeding six months and by the Principal Chief Commissioner of Central Excise or Chief Commissioner of Central Excise, as the case may be, for such further period as he may deem fit.

(4)

The assessee shall be liable to pay interest on any amount paid or payable on the goods under provisional assessment, but not paid on the due date specified under sub-rule (1) of rule 8 and the first proviso thereto, as the case may be, at the rate specified by the Central Government, vide, notification under section 11AA of the Act, for the period starting with the first day after the due date till the date of actual payment, whether such amount is paid before or after the issue of order for final assessment.

Explanation. - For the removal of doubt, it is hereby declared that the goods under provisional assessment, cleared in the month of January, 2017, say a provisional duty of Rs. 5000 is paid on the 6th February, 2017 [due date under subrule (1) of rule 8], a further duty of Rs 9000 is paid on the 15th April, 2017, and on the same day the documents for final assessment are submitted by the assessee. Final assessment order is issued on the 18th June, 2017, assessing

the duty payable on goods as Rs. 15000, and consequently the assessee pays a duty of Rs 1000 on the 30th June, 2017, then no interest shall be payable on Rs 5000, interest shall be payable on Rs 9000 from the 7th February, 2017, till the 15th April, 2017, and interest shall be payable on Rs 1000 from the 7th February, 2017, till the 30th June, 2017, as due date for payment of duty of Rs 15000 is the 6th February, 2017.

(5)

Where the assessee is entitled to a refund consequent to an order of final assessment under sub-rule (3), then, subject to sub-rule (6), there shall be paid an interest on such refund as provided under section 11BB of the Act.

(6)

Any amount of refund determined under sub-rule (3) shall be credited to the Fund:

Provided that the amount of refund, instead of being credited to the Fund, be paid to the applicant, if such amount is relatable to-

(a)

the duty of excise paid by the manufacturer, if he had not passed on the incidence of such duty to any other person;

or

(b)

the duty of excise borne by the buyer, if he had not passed on the incidence of such duty to any other person.

8.

Manner of payment.

(1)

The duty on the goods removed from the factory or the warehouse during a month shall be paid by the 6th day of the following month, if the duty is paid electronically through internet banking and by the 5th day of the following month, in any other case:

Provided that in case of goods removed during the month of March, the duty shall be paid by the 31st day of March:

Provided further that where an assessee is eligible to avail of the exemption under a notification based on the value of clearances in a financial year, the duty on goods cleared during a quarter of the financial year shall be paid by the 6th day of the month following that quarter, if the duty is paid electronically through internet banking and in any other case, by the 5th day of the month following that quarter, except in case of goods removed during the last quarter, starting from the 1st day of January and ending on the 31st day of March, for which the duty shall be paid by the 31st day of March.

Explanation-1. - For the removal of doubts, it is hereby clarified that an assessee, shall be eligible, if his aggregate value of clearances of all excisable goods for home consumption in the preceding financial year, computed in the manner specified in the said notification, did not exceed rupees four hundred lakhs.

Explanation-2. - The manner of payment as specified in this proviso shall be available to the assessee for the whole of the financial year.

(2)

Every assessee shall electronically pay duty through internet banking:

Provided that the Assistant Commissioner or the Deputy Commissioner of Central Excise, for reasons to be recorded in writing, allow an assessee payment of duty by any mode other than internet banking.

(3)

The duty of excise shall be deemed to have been paid for the purposes of these rules on the excisable goods removed in the manner provided under sub-rule (1) and the credit of such duty allowed, as provided by or under any rule.

(4)

If the assessee fails to pay the amount of duty by due date, he shall be liable to pay the outstanding amount along with interest at the rate specified by the Central Government vide notification under section 11AA of the Act on the outstanding amount, for the period starting with the first day after due date till the date of actual payment of the outstanding amount.

(5)

If the assessee fails to pay the duty declared as payable by him in the return within a period of one month from the due date, then the assessee is liable to pay the penalty at the rate of one per cent on such amount of the duty not paid, for each month or part thereof calculated from the due date, for the period during which such failure continues.

Explanation. - For the purposes of this sub-rule, 'month' means the period between two consecutive due dates for payment of duty specified under sub-rule (1) or the first proviso to sub-rule (1), as the case may be.

(6)

The provisions of section 11 of the Act shall be applicable for recovery of the duty as assessed under rule 6 and mentioned in the return filed under these rules, the interest under sub-rule (4) and the penalty under sub-rule (5) in the same manner as they are applicable for recovery of any duty or other sums payable to the Central Government.

Explanation 1. - For the purposes of this rule,-

(a)

the duty liability shall be deemed to have been discharged only if the amount payable is credited to the account of the Central Government by the specified date;

(b)

if the assessee deposits the duty by cheque, the date of presentation of the cheque in the bank designated by the Central Board of Excise and Customs for this purpose shall be deemed to be the date on which the duty has been paid subject to realisation of that cheque.

Explanation 2. - For the purposes of this rule, the expressions 'duty' or 'duty of excise' shall also include the amount payable in terms of the CENVAT Credit Rules, 2017.

9.

Registration.

(1)

Every person, who produces, manufactures, carries on trade, holds private store-room or warehouse or otherwise uses excisable goods or an importer who issues an invoice on which CENVAT credit can be taken, shall get registered: Provided that a registration obtained under rule 9 of the Central Excise Rules, 2002 shall be deemed to be valid as the registration made under these rules.

(2)

The Board may, by notification and subject to such conditions or limitations as may be specified in such notification, specify person or class of persons who may not require such registration.

(3)

The registration under sub-rule (1) shall be subject to such conditions, safeguards and procedure as may be specified by notification by the Board.

10.

Daily stock account.

(1)

Every assessee shall maintain proper records, on a daily basis, in a legible manner indicating the particulars regarding description of the goods produced or manufactured, opening balance, quantity produced or manufactured, inventory of goods, quantity removed, assessable value, the amount of duty payable and particulars regarding amount of duty actually paid.

(2)

The first page and the last page of each such account book shall be duly authenticated by the producer or the manufacturer or his authorised agent.

(3)

All such records shall be preserved for a period of five years immediately after the financial year to which such records pertain.

(4)

The records under this rule may be preserved in electronic form and every page of the record so preserved shall be authenticated by means of a digital signature.

(5)

The Board may, by notification, specify the conditions, safeguards and procedure to be followed by an assessee preserving digitally signed records.

Explanation. - For the purposes of this rule and rule 11, the expressions, "authenticate", "digital signature" and "electronic form" shall have the respective meanings as assigned to them in the Information Technology Act, 2000 (21 of 2000

).

11.

Goods to be removed on invoice.

(1)

No excisable goods shall be removed from a factory or a warehouse except under an invoice signed by the owner of the factory or his authorised agent and in the case of cigarettes, each such invoice shall also be countersigned by the Inspector of Central Excise or the Superintendent of Central Excise before the cigarettes are removed from the factory.

(2)

The invoice shall be serially numbered and shall contain the registration number, address of the concerned Central Excise division, name of the consignee, description, classification, time and date of removal, mode of transport and vehicle registration number, rate of duty, quantity and value, of goods and the duty payable thereon:

Provided that in case of a proprietary concern or a business owned by Hindu Undivided Family, the name of the proprietor or Hindu Undivided Family, as the case may be, shall also be mentioned in the invoice:

Provided further that if goods are directly sent to a job worker on the direction of a manufacturer, the invoice shall also contain the details of the manufacturer as buyer and contain the details of job worker as the consignee:

Provided also that if the goods are directly sent to any person on the direction of the registered dealer, the invoice shall also contain the details of the registered dealer as the buyer and the person as the consignee, and that person shall take CENVAT credit on the basis of the registered dealer's invoice:

Provided also that if the goods imported under the cover of a bill of entry are sent directly to buyer's premises, the invoice issued by the importer shall mention that goods are sent directly from the place or port of import to the buyer's premises.

(3)

The invoice shall be prepared in triplicate in the following manner, namely:-

(i)

the original copy being marked as ORIGINAL FOR BUYER;

(ii)

the duplicate copy being marked as DUPLICATE FOR TRANSPORTER;

(iii)

the triplicate copy being marked as TRIPLICATE FOR ASSESSEE.

(4)

Only one copy of invoice book shall be in use at a time, unless otherwise allowed by the Assistant Commissioner of Central Excise, or the Deputy Commissioner of Central Excise, as the case may be, in the special facts and circumstances of each case.

(5)

Before making use of the invoice book, the serial numbers of the same shall be intimated to the Superintendent of Central Excise having jurisdiction.

(6)

The provisions of this rule shall apply mutatis mutandis to goods supplied by an importer who issues an invoice on which CENVAT credit can be taken, or a first stage dealer or a second stage dealer:

Provided that in case of the first stage dealer receiving imported goods under an invoice bearing an indication that the credit of additional duty of customs levied on the said goods under sub-section (5) of section 3 of the Customs Tariff Act, 1975 (

51 of 1975

) shall not be admissible, the said dealer shall on the resale of the said imported goods, indicate on the invoice issued by him that no credit of the additional duty levied under sub-section (5) of section 3 of the Customs Tariff Act, 1975 (

51 of 1975

) shall be admissible:

Provided further that in case of the second stage dealer receiving imported goods under an invoice bearing an indication that the credit of additional duty of customs levied on the said goods under sub-section (5) of section 3 of the Customs Tariff Act, 1975 (

51 of 1975

) shall not be admissible, the said dealer shall on the resale of such imported goods, indicate on the invoice issued by him that no credit of the additional duty levied under sub-section (5) of section 3 of the Customs Tariff Act, 1975 (

51 of 1975

) shall be admissible.

(7)

An invoice issued under this rule by a manufacturer may be authenticated by means of a digital signature:

Provided that where the duplicate copy of the invoice meant for transporter is digitally signed, a hard copy of the duplicate copy of the invoice meant for transporter shall be used for transport of goods.

(8)

The Board may, by notification, specify the conditions, safeguards and procedure to be followed by an assessee using digitally signed invoice.

Explanation. - For the purposes of these rules, first stage dealer and second stage dealer shall have the meanings assigned to them in CENVAT Credit Rules, 2017.

12.

Filing of return.

(1)

Every assessee shall submit to the Superintendent of Central Excise a monthly return in the form specified by notification by the Board, of production and removal of goods and other relevant particulars, within ten days after the close of the month to which the return relates:

Provided that an assessee, manufacturing pan masala containing tobacco falling under tariff item 2403 99 90 and paying duty of Central Excise more than rupees five lakhs in the month, shall also file, along with the return, for the month to which the said return relates, a statement summarizing,-

(i)

the purchase invoices for the month with the names and addresses of the suppliers of betel nut, tobacco and packing material along with the quantity of the said goods purchased; and

(ii)

the sales invoices for the month with the names and addresses of the buyers, description, quantity and value of goods sold by the assessee.

Explanation. - When the goods are not sold from the factory, the address of the premises to which the goods are dispatched from the factory shall also be provided:

Provided further that where an assessee is eligible to avail of the exemption under a notification based on the value of clearances in a financial year, he shall file a quarterly return in the form specified, by notification, by the Board, of production and removal of goods and other relevant particulars within ten days after the close of the quarter to which the return relates.

Explanation 1. - For the purposes of this proviso, it is hereby clarified that an assessee shall be eligible, if his aggregate value of clearances of all excisable goods for home consumption in the preceding financial year computed in the manner specified in the said notification did not exceed rupees four hundred lakhs.

Explanation 2. - The filing of returns as specified in this proviso shall be available to the assessee for the whole of the financial year.

(2)

(a)

Notwithstanding anything containing in sub-rule (1), every assessee shall submit to the Superintendent of Central Excise, an Annual Return for the preceding financial year to which the return relates in the form specified by notification by the Board by 30th day of November of the succeeding year.

(b)

The Central Government may, by notification, and subject to such conditions or limitations as may be specified in such notification, specify assessee or class of assessee who may not be required to submit such an Annual Return.

(c)

The provision of this sub-rule and clause (b) of sub-rule (7) shall mutatis mutandis apply to a hundred per cent Export-Oriented Unit.

(3)

The proper officer may on the basis of information contained in the return filed by the assessee under sub-rule (1), and after such further enquiry as he may consider necessary, scrutinise the correctness of the duty assessed by the

assessee on the goods removed, in the manner to be prescribed by the Board.

(4)

Every assessee shall make available to the proper officer all the documents and records for verification as and when required by such officer.

(5)

Where any return referred to in this rule is submitted by the assessee after due date as specified for every return, the assessee shall pay to the credit of the Central Government, an amount calculated at the rate of one hundred rupees per day subject to a maximum of twenty thousand rupees for the period of delay in submission of each such return or statement.

(6)

The Central Board of Excise and Customs may, by an order extend the period specified in this rule by such period as deemed necessary under the circumstances of special nature to be specified therein.

(7)

(a)

An assessee, who has filed a return in the form referred to in sub-rule(1) within the date specified under that subrule or the second proviso thereto, may submit a revised return by the end of the calendar month in which the original return is filed.

Explanation. - Where an assessee submits a revised return under clause (a), the 'relevant date' for the purpose of recovery of Central Excise duty, if any, under section 11A of the Act shall be the date of submission of such revised return.

(b)

An assessee who has filed Annual Return referred to in clause (a) of sub-rule (2) by the due date mentioned in clause (a) of that sub-rule, may submit a revised return within a period of one month from the date of submission of the said Annual Return.

13.

Power to impose restrictions in certain types of cases.

- Notwithstanding anything contained in these rules, where the Central Government, having regard to the extent of evasion of duty, nature and type of offences or such other factors as may be relevant, is of the opinion that in order to prevent evasion of, or default in payment of duty of excise, it is necessary in the public interest to provide for certain measures including restrictions on a manufacturer, a registered importer, first stage and second stage dealer or an exporter may, by notification in the Official Gazette, specify the nature of restrictions including suspension of registration in case of an importer or a dealer, types of facilities to be withdrawn and procedure for issue of such order by the Principal Chief Commissioner of Central Excise or Chief Commissioner of Central Excise, as the case may be.

14.

Special procedure for payment of duty.

(1)

The Central Government may, by notification, specify the goods in respect of which an assessee shall have the option to pay the duty of excise on the basis of such factors as may be relevant to production of such goods and at such rate as may be specified in the said notification, subject to such limitations and conditions, including those relating to interest or penalty, as may be specified in such notification.

(2)

The Central Government may also specify by notification the manner of making an application for availing of the special procedure for payment of duty, the abatement, if any, that may be allowed on account of closure of a factory during any period, and any other matter incidental thereto.

15.

Credit of duty on goods brought to the factory.

(1)

Where any goods on which duty had been paid at the time of removal thereof are brought to any factory for being re-made, refined, re-conditioned or for any other reason, the assessee shall state the particulars of such receipt in his records and shall be entitled to take CENVAT credit of the duty paid as if such goods are received as inputs under the CENVAT Credit Rules, 2017 and utilise this credit according to the said rules.

(2)

If the process to which the goods are subjected before being removed does not amount to manufacture, the manufacturer shall pay an amount equal to the CENVAT credit taken under sub-rule (1) and in any other case the manufacturer shall pay duty on goods received under sub-rule (1) at the rate applicable on the date of removal and on the value determined under sub-section (3) of section 3 or section 4 or section 4A of the Act, as the case may be.

Explanation: - The amount paid under this sub-rule shall be allowed as CENVAT credit as if it was a duty paid by the manufacturer who removes the goods.

(3)

If there is any difficulty in following the provisions of sub-rule (1) and sub-rule (2), the assessee may receive the goods for being re-made, refined, re-conditioned or for any other reason and may remove the goods subsequently subject to such conditions as may be specified by the Principal Commissioner or Commissioner, as the case may be.

16.

Warehousing provisions.

(1)

The Central Government may by notification, extend the facility of removal of any excisable goods from the factory of production to a warehouse, or from one warehouse to another warehouse without payment of duty.

(2)

The facility under sub-rule (1) shall be available subject to such conditions, including penalty and interest, limitations, including limitation with respect to the period for which the goods may remain in the warehouse, and safeguards and procedure, including in the matters relating to dispatch, movement, receipt, accountal and disposal of such goods, as may be specified by the Board.

(3)

The responsibility for payment of duty on the goods that are removed from the factory of production to a warehouse or from one warehouse to another warehouse shall be upon the consignee.

(4)

If the goods dispatched for warehousing or re-warehousing are not received in the warehouse, the responsibility for payment of duty shall be upon the consignor.

17.

Remission of duty.

(1)

Where it is shown to the satisfaction of the Principal Commissioner or Commissioner, as the case may be, that goods have been lost or destroyed by natural causes or by unavoidable accident or are claimed by the manufacturer as unfit for consumption or for marketing, at any time before removal, he may remit the duty payable on such goods, subject to such conditions as may be imposed by him by order in writing:

Provided that where such duty does not exceed ten thousand rupees, the provisions of this rule shall have effect as if for the expression "Principal Commissioner or Commissioner, as the case may be", the expression "Superintendent of Central Excise" has been substituted:

Provided further that where such duty exceeds ten thousand rupees but does not exceed one lakh rupees, the provisions of this rule shall have effect as if for the expression "Principal Commissioner or Commissioner, as the case may be", the expression "Assistant Commissioner of Central Excise or the Deputy Commissioner of Central Excise, as the case may be", has been substituted:

Provided also that where such duty exceeds One lakh rupees but does not exceed five lakh rupees, the provisions of this rule shall have effect as if for the expression "Principal Commissioner or Commissioner, as the case may be", the expression "Joint Commissioner of Central Excise or Additional Commissioner of Central Excise, as the case may be", has been substituted.

(2)

The authority referred to in sub-rule (1) shall, within a period of three months from the date of receipt of an application, decide the remission of duty:

Provided that the period specified in this sub-rule may, on sufficient cause being shown and reasons to be recorded in writing, be extended by an authority next higher than the authority before whom the application for remission of duty is pending, for a further period not exceeding six months.

18.

Rebate of duty.

- Where any goods are exported, the Central Government may, by notification, grant rebate of duty paid on such excisable goods or duty paid on materials used in the manufacture or processing of such goods and the rebate shall be subject to such conditions or limitations, if any, and fulfilment of such procedure, as may be specified in the notification.

Explanation. - For the purposes of this rule, "export", with its grammatical variations and cognate expressions, means taking goods out of India to a place outside India and includes shipment of goods as provision or stores for use on board a ship proceeding to a foreign port or supplied to a foreign going aircraft.

19.

Export without payment of duty.

(1)

Any excisable goods may be exported without payment of duty from a factory of the producer or the manufacturer or the warehouse or any other premises, as may be approved by the Principal Commissioner or Commissioner, as the case may be.

(2)

Any material may be removed without payment of duty from a factory of the producer or the manufacturer or the warehouse or any other premises, for use in the manufacture or processing of goods which are exported, as may be approved by the Principal Commissioner or Commissioner, as the case may be.

(3)

The export under sub-rule (1) or sub-rule (2) shall be subject to such conditions, safeguards and procedure as may be specified by notification by the Board.

20.

Removal of goods for job work, etc.

- Any inputs received in a factory may be removed as such or after being partially processed to a job worker for further processing, testing, repair, re-conditioning or any other purpose subject to the fulfilment of conditions specified in this behalf by the Commissioner of Central Excise having jurisdiction.

21.

Special procedure for removal of semi-finished goods for certain purposes.

- The Principal Commissioner of Central Excise or Commissioner of Central Excise, as the case may be may by special order and subject to conditions as may be specified by the Principal Commissioner of Central Excise or Commissioner of Central Excise, as the case may be, permit a manufacturer to remove excisable goods which are in the nature of semi-finished goods, for carrying out certain manufacturing processes, to some other premises and to bring back such goods to his factory, without payment of duty, or to some other registered premises and allow these goods to be removed on payment of duty or without payment of duty for export from such other registered premises.

22.

Special procedure for removal of excisable goods for carrying out certain processes.

- The Principal Commissioner of Central Excise or Commissioner of Central Excise, as the case may be, by special order and subject to such conditions as may be specified by him, permit a manufacturer to remove excisable goods manufactured in his factory, without payment of duty, for carrying out tests or any other process not amounting to manufacture, to any other premises, whether or not registered, and after carrying out such tests or any such other process may allow,-

(a)

bringing back such goods to the said factory without payment of duty, for subsequent clearance for home consumption or export, as the case may be; or

(b)

removal of such goods from the said other premises, for home consumption on payment of duty leviable thereon or without payment of duty for export, as the case may be:

Provided that this rule shall not apply to the goods known as "prototypes" which are sent out for trial or development test.

23.

Removal of goods by a Hundred percent Export-Oriented Undertaking for Domestic Tariff Area.

(1)

Where any goods are removed from a hundred per cent export-oriented undertaking to domestic tariff area, such removal shall be made under an invoice by following the procedure specified in rule 11, and the duty leviable on such goods shall be paid by utilizing the CENVAT credit or by crediting the duty payable to the account of the Central Government in the manner specified in rule 8.

(2)

The unit shall maintain in the form specified by notification by the Board appropriate account relating to production, description of goods, quantity removed, and the duty paid.

(3)

The unit shall electronically submit a monthly return, in the form specified, by notification, by the Board, to the Superintendent of Central Excise, within ten days from the close of the month to which the return relates, in respect of excisable goods manufactured in, and receipt of inputs and capital goods in, the unit:

Provided that the Central Board of Excise and Customs may, by an order extend the period by such period as deemed necessary under the circumstances of special nature to be specified therein.

(4)

The proper officer may on the basis of information contained in the return filed by the unit under sub-rule (3), and after such further enquiry as he may consider necessary, scrutinise the correctness of the duty assessed by the assessee on the goods removed, in the manner to be prescribed by the Board.

(5)

Every assessee shall make available to the proper officer all the documents and records for verification as and when required by such officer.

(6)

Where the return is submitted under sub-rule (3) by the assessee after the due date as mentioned in that sub-rule, the assessee shall pay to the credit of the Central Government, an amount calculated at the rate of one hundred rupees per day subject to a maximum of twenty thousand rupees for the period of delay in submission of each return.

(7)

An assessee, who has filed a return in the form referred to in sub-rule (3) within the date specified under that subrule, may submit a revised return by the end of the calendar month in which the original return is filed.

Explanation. - Where an assessee submits a revised return under this sub-rule, the "relevant date" for the purpose of recovery of Central Excise duty, if any, under section 11A of the Act shall be the date of submission of such revised return.

24.

Access to a registered premises.

(1)

An officer empowered by the Principal Commissioner or Commissioner, as the case may be in this behalf shall have access to any premises registered under these rules for the purpose of carrying out any scrutiny, verification and checks as may be necessary to safeguard the interest of revenue.

(2)

Every assessee, an importer who issues an invoice on which CENVAT credit can be taken, first stage and second stage dealer shall furnish to the officer empowered under sub-rule (1), a list in duplicate, of all the records prepared and maintained for accounting of transaction in regard to receipt, purchase, manufacture, storage, sales or delivery of the goods including inputs and all the financial records and statements (including trial balance or its equivalent).

(3)

Every assessee, an importer who issues an invoice on which CENVAT credit can be taken, first stage and second stage dealer shall, on demand make available to the officer empowered under sub-rule (1) or the audit party deputed by the Principal Commissioner or Commissioner, as the case may be or the Comptroller and Auditor- General of India, or a cost accountant or chartered accountant nominated under section 14A or section 14 AA of the Act,-

(i)

the records maintained or prepared by him in terms of sub-rule (2);

(ii)

the cost audit reports, if any, under section 148 of the Companies Act, 2013 (

18 of 2013

); and

(iii)

the income-tax audit report, if any, under section 44 AB of the Income-tax Act, 1961 (43 of 1961

), for the scrutiny of the officer or the audit party or the cost accountant or chartered accountant, within the time limit specified by the said officer or the audit party or the cost accountant or chartered accountant, as the case may be.

25.

Power to stop and search.

- Any Central Excise Officer, may search any conveyance carrying excisable goods in respect of which he has reason to believe that the goods are being carried with the intention of evading duty.

26.

Power to detain or seize goods.

- If a Central Excise Officer, has reason to believe that any goods, which are liable to excise duty but no duty has been paid thereon or the said goods were removed with the intention of evading the duty payable thereon, the Central Excise Officer may detain or seize such goods.

27.

Return of records.

- The books of accounts or other documents, seized by the Central Excise Officer or produced by an assessee or any other person, which have not been relied on for the issue of notice under the Act or the rules made thereunder, shall be returned within thirty days of the issue of said notice or within thirty days from the date of expiry of the period for issue of said notice:

Provided that the Principal Commissioner of Central Excise or Commissioner of Central Excise, as the case may be, may order for the retention of such books of accounts or documents, for reasons to be recorded in writing and the Central Excise Officer shall intimate to the assessee or such person about such retention.

28.

Confiscation and penalty.

(1)

Subject to the provisions of section 11 AC of the Act, if any producer, manufacturer, registered person of a warehouse, or an importer who issues an invoice on which CENVAT credit can be taken, or a registered dealer,

(a)

removes any excisable goods in contravention of any of the provisions of these rules or the notifications issued under these rules; or

(b)

does not account for any excisable goods produced or manufactured or stored by him; or

(c)

engages in the manufacture, production or storage of any excisable goods without having applied for the registration certificate required under section 6 of the Act; or

(d)

contravenes any of the provisions of these rules or the notifications issued under these rules with intent to evade payment of duty, then, all such goods shall be liable to confiscation and the producer or manufacturer or registered person of the warehouse, or an importer who issues an invoice on which CENVAT credit can be taken, or a registered dealer, as the case may be, shall be liable to a penalty not exceeding the duty on the excisable goods in respect of which any contravention of the nature referred to in clause (a) or clause (b) or clause (c) or clause (d) has been committed, or five thousand rupees, whichever is greater.

(2)

An order under sub-rule (1) shall be issued by the Central Excise Officer, following the principles of natural justice.

29.

Penalty for certain offences.

(1)

Any person who acquires possession of, or is in any way concerned in transporting, removing, depositing, keeping,

concealing, selling or purchasing, or in any other manner deals with, any excisable goods which he knows or has reason to believe are liable to confiscation under the Act or these rules, shall be liable to a penalty not exceeding the duty on such goods or two thousand rupees, whichever is higher:

Provided that where any proceeding for the person liable to pay duty have been concluded under clause (a) or clause (d) of sub-section (1) of section 11AC of the Act in respect of duty, interest and penalty, all proceedings in respect of penalty against other persons, if any, in the said proceedings shall also be deemed to be concluded.

(2)

Any person, who issues-

(i)

an excise duty invoice without delivery of the goods specified therein or abets in making such invoice; or

(ii)

any other document or abets in making such document, on the basis of which the user of said invoice or document is likely to take or has taken any ineligible benefit under the Act or the rules made thereunder like claiming of CENVAT credit under the CENVAT Credit Rules, 2017 or refund, shall be liable to a penalty not exceeding the amount of such benefit or five thousand rupees, whichever is higher.

30.

General penalty.

- A breach of these rules shall, where no other penalty is provided herein or in the Act, be punishable with a penalty which may extend to five thousand rupees and with confiscation of the goods in respect of which the offence is committed.

31.

Confiscated property to vest in Central Government.

(1)

When any goods are confiscated under these rules, such thing shall thereupon vest in the Central Government.

(2)

The Central Excise Officer adjudging confiscation shall take and hold possession of the things confiscated, and every Officer of Police, on the requisition of such Central Excise Officer, shall assist him in taking and holding such possession.

32.

Disposal of confiscated goods.

- Confiscated goods in respect of which the option of paying a fine in lieu of confiscation has not been exercised, shall be sold, destroyed or otherwise disposed of in such manner as the Principal Commissioner or Commissioner, as the case may be may direct.

33.

Storage charges in respect of goods confiscated and redeemed.

- If the owner of the goods, the confiscation of which has been adjudged, exercises his option to pay fine in lieu of confiscation, he may be required to pay such storage charges as may be determined by the adjudicating officer.

34.

Power to issue supplementary instructions.

- The Board or the Principal Chief Commissioner or Chief Commissioner, as the case may be or the Principal Commissioner or Commissioner, as the case may be, may issue written instructions providing for any incidental or supplemental matters, consistent with the provisions of the Act and these rules.

35.

Transitional provision.

(1)

Any notification, circular, instruction, standing order, trade notice or other order issued under the Central Excise (No. 2) Rules, 2001 or Central Excise Rules, 2002, as the case may be, by the Central Government, the Central Board of Excise and Customs, the Principal Chief Commissioner of Central Excise or Chief Commissioner of Central Excise, as the case may be or the Principal Commissioner of Central Excise or Commissioner of Central Excise, as the case may be, and in force at the commencement of these rules, shall, to the extent it is relevant and consistent with these rules, be deemed to be valid and issued under the corresponding provisions of these rules.

(2)
References in any rule, notification, circular, instruction, standing order, trade notice or other order to the Central Excise (No. 2) Rules, 2001 or Central Excise Rules, 2002, as the case may be, and any provision thereof, on the commencement of these rules, be construed as references to the Central Excise Rules, 2017 and any corresponding provision thereof.

Form E.R.-1

Original/ Duplicate

(See Rule 12 of the Central Excise Rules, 2017 and rule 11(5) of CENVAT Credit Rules, 2017)

Return of excisable goods and availment of CENVAT credit for
the Month

1. Central Excise Registration number :
2. GST Registration number :
3. Name of the assessee :
4. Details of the manufacture, clearance and duty payable :
CETSH No.
Description of goods
Unit of quantity
Opening balance
Quantity manufactured
Quantity cleared
Closing Balance
Assessable Value

(1)
(2)
(3)
(4)
(5)
(6)
(7)
(8)

Duty
Notification availed
Serial Number in Notification
Rate of duty (adv)
Rate of duty (Specific)
Duty payable
Provisional assessment number (if any)

(9)
(10)
(11)
(12)
(13)
(14)
(15)

CENVAT
Other duties

5. Details of duty paid on excisable goods :
Duty code
Credit Account (Rs)
Account Current (Rs)
Challan

BSR Code

Total duty paid (2+3)

No.

date

(1)

(2)

(3)

(4A)

(4B)

(5)

(6)

CENVAT

Other duties

6. Abstract of ACCOUNT-CURRENT (Cash payment) :

Summary particulars

Amount in Rs.

(1)

(2)

Opening Balance

Add: TR-6/ GAR-7 Challan payments made in the month (in aggregate)

Total amount available

Less: Utilization towards payment of duties on excisable goods during the month (vide. Details furnished under Column No. 3 in S.No. (5) of the Return

Less: Utilization towards other payments made during the month (vide. Details furnished under S.No. (8) of the Return)

Closing balance

7. Details of CENVAT credit taken and utilized :

S.No.

Details of credit

CENVAT (Rs)

NCCD (Rs)

ADE levied under clause 85 of Finance Act, 2005 (Rs)

Additional duty of customs levied under section 3(1) of the Customs Tariff Act, 1975 (Rs)

Additional duty of customs levied under section 3(5) of the Customs Tariff Act, 1975 (Rs)

(1)

(2)

(3)

(4)

(5)

(6)

1

Opening

2

Credit of excise duty taken on inputs on invoices issued by manufacturer

3

Credit of excise duty taken on inputs on
invoices issued by 1st or IIInd stage dealer

4

Credit of CVD taken on imported inputs

5

Total credit

6

Credit utilised for payment of duty on excisable
goods

7

Credit utilized when inputs subjected to duty of
excise in post GST era are removed as such

8

Credit utilised for payment of amount in terms
of Rule 6 of CENVAT

9

Credit utilised for other payment

10

Closing balance

8. Details of other payments made :

Payments

Amount paid (Rs)

Challan

BSR code

Source document

Account current

Credit account

No.

date

No.

date

(1)

(2A)

(2B)

(3A)

(3B)

(4)

(5A)

(5B)

Arrears of duty under rule 8

Other arrears of duty

Interest payment under rule 8

Other interest payments

Misc. payments

Total

9.

Self-Assessment Memorandum :

a)

I hereby declare that the information given in
this return is true, correct and complete in every respect and

that I am authorised to sign on behalf of the assessee.

b)

During the month, total Rs. _____ was deposited vide TR6 Challans (copies enclosed).

c)

During the month, invoices bearing S.No. _____ to S.No. _____ were issued.

(Name of the Assessee or Authorised signatory)

Place :

Date :

Acknowledgment

Return of excisable goods and availment of CENVAT credit for the month of :

M

M

Y

Y

Y

Y

Date of Receipt :

D

D

M

M

Y

Y

Y

Y

(Name and Signature of the Range Officer with Official Seal)

Instructions

1. In case more than one item is manufactured, additional row may be inserted in each table, wherever necessary. For giving information about the details of production and clearance, payment of duty and CENVAT credit availed and utilised month wise, the respective tables may be replicated.

2. If a specific product attracts more than one rate of duty, then all the rates should be mentioned separately.

For example: If a product is cleared at full rate of duty to the local market and at a concessional/ nil rate of duty for earthquake relief, then the details for each category of clearance must be separately mentioned.

3. The term 'CENVAT' used at serial numbers 3, 6 and 8 refer to the Basic Excise Duty and the term 'Other duties' refers duties including ----- etc.

4. In case the goods are cleared for export under Bond or Letter of undertaking, the details of clearance may be mentioned separately. Under the columns (8) and (9) of table at serial number 3, the words 'Export under Bond' may be mentioned.

5. If a specified product attracts different rates of duty, within the same month, then such details should be separately mentioned.

For example : On the 10th of a month, the effective rate of duty leviable for the product is changed, then the details relating to production, clearance and payment of duty need to be mentioned separately for the period up to 9th of the month and from 10th to the end of the month.

6. 8-digit ----- Number may be indicated without any decimal point.

7. Wherever quantity codes appear, indicate relevant abbreviations as given below.

Quantities

Abbreviations

Quantities

Abbreviations

Centimetre(s)

cm

Metre(s)

m

Cubic centimetre(s)

cm³

Square metre(s)

m²

Cubic metre(s)

m³

Millimetre(s)

mm

Gram(s)

g

Metric tonne

mt

Kilogram

kg

Number of pairs

pa

Kilolitre

kl

Quintal

q

Litre(s)

l

Tonne(s)

t

Thousand in number

Tu

Number

u

8. Where the duty is specific and is charged based on specified unit quantity, the same quantity code must be used for showing clearance figures.

9. In column (6) of Table at serial number 3, the assessable value means,

(a)

where goods attract ad valorem rate of duty, the value under section 4 of Central Excise Act, 1944 (1 of 1944

);

(b)

where goods are covered under section 4A of the Act, the assessable value as worked out under MRP after allowing deductions as provided under section 4A of the Act;

(c)

in case of goods for which the tariff value is fixed, such tariff value;

(d)

in case of specific rated goods, the aggregated invoice value of the goods excluding all taxes;

(e)

in case of combination of ad valorem and specific duties, the transaction value under section 4 of the Act;

(f)

in case of exports under Bond, the ARE-1/ARE-2/invoice value.

The abbreviations and expressions used to denote a particular type of duty are as below :

CENVAT

Duty of Excise leviable as per Fourth Schedule to Central
Excise Act, 1944

NCCD

National Calamity Contingent Duty leviable under section 136
of the Finance Act, 2001(as amended)

ADE on specified products

ADE on specified products as levied under Clause 85 of the
Finance Bill, 2005

10. In Tables at serial numbers 3 and 6 the 'Other duties' paid/ payable, as applicable, may be mentioned as per the following sequence.

11. In column (10) in Table at serial number 3, indicate the effective rates of duty. Columns which are not applicable, may be left blank.

12. Goods cleared under compounded levy scheme, indicate the aggregate duty payable in column (12) of Table at serial number 3 as per the compounded levy scheme. The columns not applicable may be kept blank.

13. In case the goods are assessed provisionally, the details may be given separately in Table at serial number 3. In column (13) of Table at serial number 3, specify the Unique Identification number mentioned in the order for Provisional Assessment.

14. The details of the challans for duty payment should be mentioned in Table at Sr.No. 6. In Table at S.No.9, separate challans should be used for pre-deposit of duty for the purpose of appellate remedy, for paying dues for approaching Settlement Commission and for other payments.

15. In column (5) of Table at serial number 9, specify the Order-in-Original number and date relating to the payment of arrears of duty and of interest, the period for which the said interest has been paid. For other miscellaneous payments, mention the source document number and date. Miscellaneous payment includes penalty, redemption fine, and pre-deposit.

16. In the Tables at serial numbers 6 and 9, the BSR codes of the Bank branch should be indicated when the instructions to this effect are issued.

17. Additional information required to be given only by a large taxpayer defined under sub-rule (ea) of rule 2 of the Central Excise Rules, 2002, who has opted to operate as large taxpayer has been indicated with an asterix*.

Form E.R.-2

Original/ Duplicate

1.

{|

M

M

Y

Y

Y

Y

Return to be submitted by EOU/ STP/ EHTP/ BTP unit for the
month of :

Central Excise Registration number :

Letter of Permission number and date :

|}

2.

GST Registration number :

{|

|}

3.

{|

Name of the assessee :

Address of the unit

l}

4.

Details of manufacture and clearance of goods :

Sl. No.

Description of goods

CETSH No.

Unit of Qty.

Opening Balance

Quantity Manufactured

(1)

(2)

(3)

(4)

(5)

(6)

Details of clearance

Closing Balance

Physical Exports

Deemed exports under Para 6.9 of FTP

DTA clearances

Qty.

Value (Rs.)

Qty.

Value (Rs.)

Qty.

Value (Rs.)

(7)

(8)

(9)

(10)

(11)

(12)

(13)

4A.

Details of clearances in DTA and deemed exports and duty payable :

Sl. No.

Para No. of FTP under which goods cleared into

DTA

Description of Goods

CETSH No.

CTSH No.

Unit of Qty.

Quantity cleared

Value (Rs.)

(1)

(2)

(3)

(4)

(5)

(6)

(7)

(8)

BCD on like imported goods

Tariff Rate

Customs Notification

C.Ex. (EOU) Notification

Effective Rate

BCD amount payable (Rs)

No.

Sl. No.

No.

Sl. No.

(9)

(10)

(11)

(12)

(13)

(14)

(15)

CVD equivalent to total duties leviable as duty
of excise on like imported goods

Tariff Rate

Customs/ C.Ex. Notification

C.Ex. (EOU) Notification

Effective Rate

CVD amount Payable (Rs.)

No.

Sl. No.

No.

Sl. No.

(16)

(17)

(18)

(19)

(20)

(21)

(22)

{|

SAD (Rs.)

Other duties (Rs.)

Total CENVAT payable (Rs.)

(23)

(24)

(25)

|}

4B.

Details of Physical Exports and export duty paid, if any :

Sl. No.

Description of goods

CTSH No.

Unit of Qty.

Quantity Exported

FOB value of exports for the month (Rs.)

Export duty, if any paid

Cumulative FOB value of exports up to the month
in the current financial year (Rs.)

Cumulative FOB value of exports up the month for
the block of 5 years (Rs.)

Effective rate

Duty paid (Rs.)

(1)

(2)

(3)

(4)

(5)

(6)

(7)

(8)

(9)

(10)

4C.

Details of Duty Paid :

Sl. No.

Duties

Credit Account (Rs.) [Paid through CENVAT Credit]

Credit Account (Rs.) [Paid through Cash/ Bank]

Challan

BSR code

Total duty Paid (Rs.)

No.

Date

(1)

(2)

(3)

(4)

(5)

(6)

(7)

1.

CENVAT

2.

Other duties

3.

Export duties

5.

Abstract of Account - Current (Cash/ Bank payment) :

Summary

Amount in Rs.

(1)

(2)

Opening Balance

Add: TR-6/ GAR-7 Challan payments made in the month (in

aggregate)

Total a Less : Utilization towards Payment of
duties on goods cleared during the month [Vide Details furnished
under column No. (3) of the Table at Sl. No. 4C of the
Return]mount available

Less Utilization towards Other Payments made
during the month [Vide Details furnished under column No. (2A) of
the Table at Sl. No. 9 of the Return]

Closing balance

6A.

Details of duty free indigenous Inputs received by the unit :

Sl. No.

Description of goods

CETSH No.

Unit of Qty.

Provisions under which inputs received

Opening Balance (Qty)

Receipt during the month

C. Ex. Notification No.

Provision of FTP

Qty.

Value (Rs.)

Duty foregone (Rs.)

(1)

(2)

(3)

(4)

(5A)

(5B)

(6)

(7)

(8)

(9)

1.

2.

Others

Consumption (Qty.)

Cleared as such into DTA

Inter unit transfer, if any

Wastage or Destroyed (Qty.)

Closing Balance (Qty.)

Qty.

Value (Rs.)

Qty.

Value (Rs.)

(10)

(11)

(12)

(13)

(14)

(15)

(16)

6B.

Details of duty free Imported Inputs received by the unit :

Sl. No.

Description of goods

CETSH No.

CTSH No.

Unit of Qty.

Provisions under which inputs received

Opening Balance

Receipt during the month

C. Ex. Notification No.

Provision of FTP

Qty.

Value (Rs.)

Duty foregone (Rs.)

(1)

(2)

(3)

(4)

(5)

(6A)

(6B)

(7)

(8)

(9)

(10)

Consumption (Qty.)

Cleared as such into DTA

Inter unit transfer, if any

Wastage or Destroyed (Qty.)

Closing Balance (Qty.)

Qty.

Value (Rs.)

Qty.

Value (Rs.)

(11)

(12)

(13)

(14)

(15)

(16)

(17)

7.

Details of duty free Capital goods received by the unit :

Particulars

Value (Rs.)

Import

Indigenous

Opening balance

Received (including Inter unit transfer) during the month

Cleared as such into DTA

Cleared under Inter Unit transfer

Destroyed

Closing Balance

8.

Details of CENVAT credit taken and utilized :

S.No.

Details of credit

CENVAT (Rs)

NCCD (Rs)

ADE levied under clause 85 of Finance Act, 2005

(Rs)

Additional duty of customs levied under section

3(1) of the Customs Tariff Act, 1975 (Rs)

Additional duty of customs levied under section

3(5) of the Customs Tariff Act, 1975 (Rs)

(1)

(2)

(3)

(4)

(5)

(6)

1

Opening

2

Credit of excise duty taken on inputs on

invoices issued by manufacturer

3

Credit of excise duty taken on inputs on

invoices issued by 1st or 1st stage dealer

4

Credit of CVD taken on imported inputs

5

Total credit

6

Credit utilised for payment of duty on excisable

goods

7

Credit utilized when inputs subjected to duty of

excise in post GST area are removed as such

8

Credit utilised for payment of amount in terms

of Rule 6 of CENVAT

9

Credit utilised for other payment

10

Closing balance

9.

Details of other payments made :

Sl. No.

Payments

Amount paid (Rs.)

Challan

BSR Code

Source document.

(1)

(2A)

(2B)

(3A)

(3B)

(4)

(5A)

(5B)

1.

Amount paid equal to duty foregone on the inputs used for the goods cleared into DTA which are exempted from customs duties [in terms of Proviso to Para 3 of notification No. 52/2003- Central Excise both dated 31.3.2003]

2.

Amount paid equal to anti-dumping duty foregone on inputs cleared as such into DTA or inputs used in manufacture of goods cleared into DTA

3.

Amount of duty paid on debonding of goods

4.

Arrears of duty under rule 8 of Central Excise Rules, 2002

5.

Other arrears of duty

6.

Interest payments under rule 8 of Central Excise Rules, 2002

7.

Other interest payments

8.

Miscellaneous payments

9.

Total

10.

Self-Assessment Memorandum :

a)

I hereby declare that the information given in this return is true, correct and complete in every respect and that I am authorised to sign on behalf of the assessee.

b)

During the month, total Rs. _____ was deposited vide TR6 Challans (copies enclosed).

c)

During the month, invoices bearing S.No. _____ to S.No. _____ were issued.

(Name of the Assessee or Authorised signatory)

Place :

Date :

Acknowledgment

E.R. 2-Return for the month of

M

M

Y

Y

Y

Y

D

D

M

M

Y

Y

Y

Y

Date of receipt

(Name and Signature of the Range Officer with Official Seal)

Instructions

1. Indicate the 15-digit PAN based central excise registration number against Sl. No. 1 and the name against Sl. No. 2 as appearing in the Registration Certificate issued by the Central Excise authorities. Letter of Permission number and date may be furnished in Sl. No. 1 as issued by the Development Commissioner.

2. In case more than one item is manufactured, additional rows may be inserted in each table, wherever necessary. For giving information about the details of production and clearance, payment of duty and CENVAT credit availed and utilized month-wise, the respective tables may be replicated.

3. In column No. (6) of the Table at Sl. No. 3, the entire quantity of goods manufactured in the unit whether or not cleared on payment of duty, should be indicated.

3.1

In column No. (10) and (12) of the Table at Sl. No. 3, the value means:

a) where goods attract ad valorem rate of duty, the value as per proviso to section 3 (1) of Central Excise Act, 1944 (1 of 1944

);

b) where goods attract specific rate of duty, the aggregate invoice value of the goods excluding all taxes;

c) in case of combination of ad valorem and specific duties, it is the value under proviso to section 3(1) of the Central Excise Act, 1944 (

1 of 1944

).

3.2

In column No. (8) of the Table at Sl. No. 3, the value means the value declared in ARE-1/ARE-2.

4. In the Table at Sl. No. 4A, -

(i)

If a specified product attracts more than one rate of duty, then each of the rates should be mentioned separately.

(ii)

If a specified product attracts different rates of duty, within the same month, then such details should be separately mentioned.

For example: On the 10th of a month, the effective rate of duty leviable for the product is changed, then the details relating to production, clearance and payment of duty need to be mentioned separately for the period up to 9th of the month and from 10th to the end of the month.

(iii)

In column No. (7), the details of clearances of goods should be specified separately in accordance with provisions of the

Foreign Trade Policy under which such clearances are made. The clearances of goods, which are not similar, cleared under the same provision of the Foreign Trade Policy, should also be specified separately. Further, the details of clearance in the table would also include clearance in DTA which are counted for fulfillment of NFE.

For example: If a product is cleared under Para 6.8 (a) and Para 6.8 (h) of FTP, then the details of clearance must be separately mentioned. If the product A and product B are cleared under Para 6.8 (a) of FTP, such clearances are to be separately mentioned.

(iv)

In column No. (14) and (21), the effective rate is the final duty rate calculated in the manner provided under Central Excise notification applicable to goods produced or manufactured in an EOU/EHTP/STP unit and brought to any other place in India.

(v)

Where the duty rate is specific and is charged based on specified unit quantity, the same quantity code must be used for showing clearance figures.

5. In case the goods are cleared for export under Bond or Letter of undertaking, the details of clearance may be mentioned separately in the Table at Sl. No. 4B.

6. 8-digit CETSH and CTSH Number may be indicated without any decimal point.

7. Wherever quantity codes appear indicate relevant abbreviations as given below:

Quantities

Abbreviations

Quantities

Abbreviations

Centimeter(s)

cm

Meter(s)

Cubic

cm³

Square meter(s)

m²

centimeter(s)

Millimeter(s)

mm

Cubic meter(s)

m³

Metric tonne

mt

Number of pairs

pa

Gram(s)

g

Quintal

q

Kilogram

kg

Tonne(s)

t

Thousand in number

Tu

Kilolitre

kl

Number

u

Liter(s)

I

8. In the Table at Sl. No. 6A and 6B, the details of each major indigenous/imported input which independently accounts for 10% or more of the total value of raw materials consumed should be given separately and all other inputs should be given together in category "others".

9. In the Table at Sl. No. 7, original value at the time of import/ procurement has to be indicated against particular capital goods whether cleared or destroyed.

10. The details of the challans for duty payment should be mentioned in Table at Sl. No. 4C. Separate challans used for pre-deposit of duty for the purpose of appellate remedy and for other type of payments shall be mentioned in the Table at Sl. No. 9.

11. In column No. (5) of the Table at Sl. No. 9, specify the Order-in-Original number and date relating to the payment of arrears of duty and of interest. For other miscellaneous payments, mention the source document number and date. Miscellaneous payments include penalty, redemption fine and Pre-deposit.

12. In the Table at Sl. No. 4C and 9, the BSR codes of the Bank branch should be indicated.

13. The 5 years block period shall be reckoned from the date of commencement of production of the Unit as specified under Para 6.5 read with Para 6.6 (a) of the FTP.

14. The abbreviations and expressions used in this form are as below:

BCD - Duty of Customs leviable as per First Schedule to the Customs Tariff Act, 1975 (

51 of 1975

).

CVD - Additional duty equal to Excise Duty leviable under sub section (1) of Section 3 of the Customs Tariff Act, 1975 (

51 of 1975

).

SAD - Additional duty of Customs leviable under sub section (5) of Section 3 of the Customs Tariff Act, 1975 (

51 of 1975

).

CENVAT - Duty of Excise leviable as per the proviso of section 3 (1) of the Central Excise Act, 1944.

NCCD - National Calamity Contingent Duty

ADE - Additional Duty of Excise on Motor Spirit and High Speed Diesel leviable under section 111 of the Finance (No. 2) Act, 1998 and section 133 of the Finance Act, 1999 respectively.

ADE on specified products - Additional Duty of Excise on specified products as levied under Section 85 of the Finance Act, 2005.

DTA - Domestic Tariff Area means area within India except Special Economic Zone, export oriented unit (EOU), Software Technology Parks (STP) unit and Electronic Hardware Technology Parks (EHTP) unit and Bio-Technology Park (BTP) unit.

FTP - Foreign Trade Policy issued under the Foreign Trade (Development and Regulation) Act, 1992 (

No. 22 of 1992

).

Qty. - Quantity.

C.Ex. - Central Excise.

15. In the Tables at Sl. No. 4A and 4C, the 'Other duties' paid/payable, as applicable, may be mentioned as per the following :

Other Duties

Rate of duty

Notification No.

Duty payable

NCCD

ADE

ADE on specified products

Any other duty

Total

Form E.R.-3

Original/ Duplicate

[See rule 12 of the Central Excise Rules, 2017 and rule 11(5) of CENVAT Credit Rules, 2017]

[To be submitted by the assessee falling under proviso to rule 12 of the Central Excise Rules, 2017]

M

M

Y

Y

Y

Y

Return of excisable goods and availment of CENVAT credit for
the Month

1. Central Excise Registration number :

2. GST Registration number :

3. Name of the assessee :

4. Details of the manufacture, clearance and duty payable :

CETSH No.

Description of goods

Unit of quantity

Opening balance

Quantity manufactured

Quantity cleared

Closing Balance

Assessable Value

(1)

(2)

(3)

(3A)

(4)

(5)

(5A)

(6)

Duty

Notification availed

Serial Number in Notification

Rate of duty (adv)

Rate of duty (Specific)

Duty payable

Provisional assessment number (if any)

(7)

(8)

(9)

(10)

(11)

(12)

(13)

CENVAT

Other duties

5. Details of duty paid on excisable goods :

Duty code

Credit Account (Rs)

Account Current (Rs)

Challan

BSR Code

Total duty paid (2+3)

No.

date

(1)

(2)

(3)

(4A)

(4B)

(5)

(6)

CENVAT

Other duties

6. Abstract of ACCOUNT-CURRENT (Cash payment) :

Summary particulars

Amount in Rs.

(1)

(2)

Opening Balance

Add: TR-6/ GAR-7 Challan payments made in the month (in aggregate)

Total amount available

Less: Utilization towards payment of duties on excisable goods during the month (vide. Details furnished under Column No. 3 in S.No. (4) of the Return

Less: Utilization towards other payments made during the month (vide. Details furnished under S.No. (7) of the Return)

Closing balance

7. Details of CENVAT credit taken and utilized :

S.No.

Details of credit

CENVAT (Rs)

NCCD (Rs)

ADE levied under clause 85 of Finance Act, 2005

(Rs)

Additional duty of customs levied under section 3(1) of the Customs Tariff Act, 1975 (Rs)

Additional duty of customs levied under section 3(5) of the Customs Tariff Act, 1975 (Rs)

(1)

(2)

(3)

(4)

(5)

(6)

1

Opening

2

Credit of excise duty taken on inputs on
invoices issued by manufacturer

3

Credit of excise duty taken on inputs on
invoices issued by 1st or IIInd stage dealer

4

Credit of CVD taken on imported inputs

5

Total credit

6

Credit utilised for payment of duty on excisable
goods

7

Credit utilized when inputs subjected to duty of
excise in post GST era are removed as such

8

Credit utilised for payment of amount in terms
of Rule 6 of CENVAT

9

Credit utilised for other payment

10

Closing balance

8. Details of other payments made :

Payments

Amount Paid (Rs.)

Challan

BSR Code

Source document

Account current

Credit account

No.

Date

No

date

(1)

(2A)

(2B)

(3A)

(3B)

(4)

(5A)

(5B)

Arrears of duty under rule 8

Other arrears of duty

Interest payment under rule 8

Other interest payments

Misc. Payments

Total

9.

Self-Assessment Memorandum :

a)

I hereby declare that the information given in this return is true, correct and complete in every respect and that I am authorised to sign on behalf of the assessee.

b)

During the month, total Rs. _____ was deposited vide TR6 Challans (copies enclosed).

c)

During the month, invoices bearing S.No. _____ to S.No. _____ were issued.

(Name of the Assessee or Authorised signatory)

Place :

Date :

Acknowledgment

M

M

Y

Y

Y

Y

Return of excisable goods and availment of CENVAT credit for the Month

D

D

M

M

Y

Y

Y

Y

Date of receipt

(Name and Signature of the Range Officer with Official Seal)

Instructions

1. Indicate the 15-digit PAN based registration number and the name as appearing in the Registration Certificate.
2. In case more than one item is manufactured, additional row may be inserted in each table, wherever necessary. For giving information about the details of production and clearance, payment of duty and CENVAT credit availed and utilised month wise, the respective tables may be replicated.
3. If a specific product attracts more than one rate of duty, then all the rates should be mentioned separately. For example: If a product is cleared at full rate of duty to the local market and at a concessional /nil rate of duty for earthquake relief, then the details for each category of clearance must be separately mentioned.
4. The term 'CENVAT' used at serial numbers 3, 4 and 6 refer to the Basic Excise Duty and the term 'Other duties' refers duties including AED, SED, NCCD, Cesses etc
5. In case the goods are cleared for export under Bond, the details of clearance may be mentioned separately. Under the columns (8) and (9) of table at serial number 3, the words 'Export under Bond' may be mentioned.
6. If a specified product attracts different rates of duty, within the same month, then such details should be separately mentioned. For example: On the 10th of a month, the effective rate of duty leviable for the product is changed, then the details relating to production, clearance and payment of duty need to be mentioned separately for the period up to 9th of the month and from 10th to the end of the month.
7. 8-digit CETSH Number may be indicated without any decimal point.
8. Wherever quantity codes appear, indicate relevant abbreviations as given below.

Quantities

Abbreviations

Quantities

Abbreviations

Centimetre(s)

cm

Metre(s)

m

Cubic centimetre(s)

cm³

Square metre(s)

m²

Cubic metre(s)

m³

Millimetre(s)

mm

Gram(s)

g

Metric tonne

mt

Kilogram

kg

Number of pairs

pa

Kilolitre

kl

Quintal

q

Litre(s)

l

Tonne(s)

t

Thousand in number

Tu

Number

u

9. Where the duty is specific and is charged based on specified unit quantity, the same quantity code must be used for showing clearance figures.

10. In column (6) of Table at serial number 3, the assessable value means,

a. where goods attract ad valorem rate of duty, the value under section 4 of Central Excise Act, 1944 (1 of 1944

);

b. where goods are covered under section 4A of the Act, the assessable value as worked out under MRP after allowing deductions as provided under section 4A of the Act;

c. in case of goods for which the tariff value is fixed, such tariff value;

d. in case of specific rated goods, the aggregated invoice value of the goods excluding all taxes;

e. in case of combination of ad valorem and specific duties, the transaction value under section 4 of the Act;

f. in case of exports under Bond, the ARE-1/ARE-2/invoice value.

The abbreviations and expressions used to denote a particular type of duty are as below:

CENVAT - Duty of Excise leviable as per First Schedule to Central Excise Tariff Act, 1985 (5 of 1986

).

NCCD - National Calamity Contingent Duty leviable under section 136 of the Finance Act, 2001(as amended).

ADE - Additional duty of Excise on Motor Spirit and High Speed Diesel leviable under section 111 of the Finance (No. 2) Act, 1998 and section 133 of the Finance Act, 1999 respectively.

ADE on specified products - ADE on specified products as levied under Clause 85 of the Finance Bill, 2005.

11. In Tables at serial numbers 3 and 4 the 'Other duties' paid/ payable, as applicable, may be mentioned as per the following sequence.

NCCD

ADE

ADE on specified products levied under clause 85 of Finance

Bill, 2005

12. In column (10) in Table at serial number 3, indicate the effective rates of duty. Columns which are not applicable may be left blank.

13. Goods cleared under compounded levy scheme, indicate the aggregate duty payable in column (12) of Table at serial number 3 as per the compounded levy scheme. The columns not applicable may be kept blank.

14. In case the goods are assessed provisionally, the details may be given separately in Table at serial number 3. In column (13) of Table at serial number 3, specify the Unique Identification number mentioned in the order for Provisional Assessment.

15. The details of the challans for duty payment should be mentioned in Table at Sr.No. 4. In Table at S.No.7, separate challans should be used for pre-deposit of duty for the purpose of appellate remedy, for paying dues for approaching Settlement Commission and for other payments.

16. In column (5) of Table at serial number 7, specify the Order-in-Original number and date relating to the payment of arrears of duty and of interest, the period for which the said interest has been paid. For other miscellaneous payments, mention the source document number and date. Miscellaneous payment includes penalty, redemption fine, and pre-deposit.

17. In the Tables at serial numbers 4 and 7, the BSR codes of the Bank branch should be indicated when the instructions to this effect are issued.

Related AI tags, queries and research notes

Translation